

WHAT IS A CRYPTOCURRENCY?

MODULE 1.4 DESIGN MAP

Definition before labels. Control before confidence.

COGNIZEN CONSULTING

A token is a design claim

Use these five checks before comparing projects.

DIMENSION	QUESTION	CHECK	EVIDENCE SOURCE
Unit	What is the tracked claim or unit?	Specify redemption, reward, access or settlement meaning.	Whitepaper / protocol docs
Ledger	Who tracks ownership?	Define on-chain records, database records and custody rights.	Explorer / architecture references
Validation	Who validates changes?	Check node diversity, consensus and policy rules.	Consensus and node docs
Control	Who changes critical rules?	Map governance and emergency mechanisms.	Governance docs
Purpose	Why is it used repeatedly?	Identify practical utility, fee flows and participant incentives.	Usage model and economics

Draft a one-sentence definition from these five checks.

A control surface is more useful than a slogan

Score each layer independently and keep the profile honest.

SURFACE	SCALE	WEAK SIGNAL	STRONG SIGNAL
Validation		Small validator concentration	Distributed validation and policy diversity
Custody		Mostly custodial usage	Practical private custody paths
Governance		Centralised upgrades	Constrained multi-party process
Infrastructure		Single cloud or API dependency	Vendor-diverse runtime
Development		Single maintainer dependency	Visible distributed maintenance

Profile summary

Authorised is not equal to safe

Capture the journey from intent to confidence.

STEP	WHAT HAPPENS	FAILURE MODE	WHAT YOU CHECK
Authorise	Holder signs a transaction with a valid key	Wrong key/path or social engineering	Key custody and signing hygiene
Propagate	Peers check format and funds	Policy reject or relay limits	Broadcast and mempool conditions
Include	Producer includes in ordered candidate	Selection delay or temporary rejection	Inclusion rules and fee logic
Confirm	Chain history extends with history depth	Reorg risk and finality assumptions	Probabilistic / deterministic rules

Design a safe user workflow for the flow above.

Turn understanding into a bounded conclusion

Answer these prompts to convert theory into decisions.

Define one project in one sentence using unit, ledger, validation, control and purpose.

Rate decentralisation across five layers for that project.

Explain a real risk that remains after protocol validation.

Map what you will verify before using a project operationally.

Write your final conclusion with two assumptions and two limits.

KEEP THIS

Treat cryptocurrency as an engineering claim about control and claims, not as a slogan. A strong answer is explicit, bounded, and testable.